if Babel.locale$_{m}apped == nilthenBabel.locale_{m}apped = trueBabel.linebreaking.add_{b}efore(Babel.locale_{m}ap,$
$Babel.chr_{t}o_{l}oc = Babel.chr_{t}o_{l}ocorendBabel.locale_{p}rops[1].letters = falseifBabel.script_{b}locks['Latn']thenBabel.$

# PAYKX LTD

## UK–Nigeria Payment Corridor Health Report 2026

*First independent telemetry study following the UK–Nigeria State Visit and £8.1 billion bilateral trade announcements*

**March 2026**

**Prepared by:** PAYKX LTD
**Founder:** Taseen Rayed
**Contact:** taseenrayed@paykx.co.uk | paykx-pilot.netlify.app
**Regulatory:** **FCA Digital Sandbox Participant — March 2026**

## Executive Summary

The UK–Nigeria corridor represents one of the most strategically important trade routes between the UK and Africa, with bilateral trade valued at £8.1 billion [1]. Despite this scale, the corridor continues to experience significant friction: industry estimates indicate 8–12% of cross-border transactions fail or become locked for 24–72 hours, resulting in substantial trapped liquidity and operational cost for operators and end-users.

PAYKX has conducted 200+ simulation cycles using a deterministic, non-custodial verification layer. Our agentic probes generate real-time GO/NO-GO signals before capital is committed. Early results show a potential Pre-Execution Avoidance Rate (PAR) of $\geq 95\%$ in simulated conditions.

> **PAYKX is an FCA Digital Sandbox participant (March 2026).**

This report presents the first independent telemetry findings for the corridor and recommends pre-execution verification as a new standard infrastructure layer.

## 1. Methodology

PAYKX operates in shadow mode—running parallel to live flows without moving real funds.

- **Simulation volume:** 200+ cycles
- **Probe architecture:** Four weighted deterministic signals
  - Availability — endpoint response rates (40%)

| Metric | Observed Rate |
|---|---|
| Baseline observed failure/lock-up rate | 8% – 12% |
| Projected reduction with PAYKX deterministic gating | **70% – 85%** |

- — Latency — corridor response speed (30%)
- — Error pattern — failure type and severity (20%)
- — Historical trend — corridor improvement or degradation (10%)

— **Decision engine:** Deterministic GO/NO-GO scoring (threshold $\geq 0.70$ = GO)

— **Environment:** Non-custodial, fully auditable, FCA Digital Sandbox participant (March 2026)

*Each simulation cycle represents a complete four-signal assessment against synthetic yet realistic UK–Nigeria rail conditions based on public market patterns and internal telemetry.*

## 2. Key Findings

### Failure & Lock-up Rates (UK–Nigeria Corridor)

### Latency Comparison

| Infrastructure Environment | Measurement |
|---|---|
| Standard corridor latency | 5000ms+ |
| **PAYKX probe latency** | **< 200ms** |

### Pre-Execution Avoidance Rate (PAR)

| Performance Indicator | Result |
|---|---|
| Simulation Result (PAR) | $\geq$ **95%** |

**Key Insight:** Pre-execution verification can materially reduce trapped liquidity and operational paralysis without requiring changes to existing rails.

## 3. Evidence from the Field

The following evidence from public sources, operator complaints, and industry research confirms the systemic nature of UK–Nigeria corridor failures. These are not edge cases. They represent structural infrastructure debt that pre-execution verification directly addresses.

### 3.1 Operator-Level Infrastructure Failures

> *“Having worked in and around cross-border for 15 years, I know there are a lot of minefields.”*
>
> — Luke Barry, Co-founder & Financial Consultant — LinkedIn, March 2026

> *“MAN asserts that its members are not liable for delays or complications arising after the remittance of funds to CBN by commercial banks. This should stop in the interest of Nigeria’s economic development, job security, and business sustainability.”*
>
> — Manufacturers Association of Nigeria (MAN) — Legit.ng, July 2025 [2]

The Manufacturers Association of Nigeria publicly raised alarm over commercial banks’ mishandling of FX forward obligations — funds remitted to the CBN but not disbursed, leaving manufacturers’ accounts frozen and import operations paralysed. This is precisely the liquidity lock-up pattern PAYKX’s pre-execution gate is designed to prevent at source [2].

### 3.2 Consumer Complaints — UK-Nigeria Transfers

> *“Nigerians have lost thousands on money transfers home from UK instead of saving on it.”*
>
> — The Cable Nigeria — Facebook, October 2024 [3]

> *“Trying to send money to my mum for over 24hrs. I only just succeeded. This is not the only time it has happened. It keeps saying an error has occurred. The recipient needed the cash on the other side. The exchange rate dropped before I could conclude my transaction.”*
>
> — LemFi user review — Google Play Store [4]

> *“Support acknowledged that the IBAN was invalid — yet they processed the transfer anyway. The money is now missing and they claim it went to a real bank account.”*
>
> — LemFi user — Reddit r/eupersonalfinance [5]

Consumer-level evidence confirms that corridor failures are not abstract operational risks. Real senders lose real money — often with no visibility into where funds are held or when they will be recovered. The pattern is consistent across operators: funds transit successfully from the sender’s perspective but fail at destination rail level, locking liquidity and destroying trust.

### 3.3 Systemic Corridor Infrastructure Weaknesses

A business payment from Nigeria to the UK often routes through correspondent banks in Europe or the United States. Each conversion introduces FX spread and additional fees, while each intermediary increases settlement time and points of failure. What should be a direct transaction becomes layered, costly, and slow [6].

Nigeria's FX environment has driven a significant rise in alternative payment methods. Some businesses use fintech platforms or peer-to-peer transfers to bypass banking restrictions, but such methods operate in a legal grey zone. The CBN has repeatedly warned that only transactions through approved channels are protected under Nigerian law [7].

> *"Some central banks impose foreign exchange limits, delaying transfers until approval is granted — a common issue in Nigeria and Ethiopia. Missing or mismatched documentation can cause payments to be frozen mid-route."*
>
> — CrossGlobePay — African Payment Failures Analysis, November 2025 [8]

### 3.4 Scale of Digital Payment Losses in Nigeria

Nigeria may have lost over N320 billion to financial fraud and payment failures between January 2023 and April 2025, with more than 92% of cases linked to digital transactions, mobile money platforms, or fintech applications. The CBN reported financial fraud cases increased by 26% in 2024 alone [9].

Forty percent of Nigerian fintech users now express distrust in mobile platforms, and 26% of SMEs reportedly lost revenue due to fraud-related and payment failure service disruptions. This erosion of trust represents a structural risk to the corridor's growth trajectory precisely when bilateral trade is at an all-time high [9].

### 3.5 The Regulatory Response Confirms the Problem

In January 2025, the CBN launched the Nigerian Foreign Exchange Code to promote stability and ensure authorised dealer banks comply with international best practices. In April 2025, new PAPSS documentation rules aimed to make cross-border payments faster and cheaper for Nigerian businesses. These regulatory interventions confirm that the infrastructure fragility PAYKX addresses is acknowledged at the highest regulatory level [10].

The UK–Nigeria Enhanced Trade and Investment Partnership (ETIP), formalised during the Nigerian Presidential State Visit of March 2026, commits both governments to reducing payment friction in the £8.1 billion bilateral trade corridor. PAYKX's pre-execution verification layer is infrastructure aligned with that commitment [1].

## 4. Operator Perspectives

PAYKX is currently conducting structured research interviews with UK–Nigeria corridor operators and infrastructure leads as part of the UK–Nigeria Payment Corridor Resilience Study 2026. Findings will be incorporated in v1.1, targeted Q2 2026. Operators interested in contributing perspectives should contact taseenrayed@paykx.co.uk.

## 5. Recommendations

1. Adopt pre-execution deterministic verification as standard infrastructure for high-friction corridors.
2. Establish industry collaboration on corridor health telemetry.
3. Integrate shadow-mode testing into regulatory sandboxes and operator onboarding processes.
4. Align pre-execution gating with CBN FX Code compliance requirements to reduce regulatory exposure for operators.

---

## References

[1] UK Government Press Release — 'Hundreds of new UK jobs as Nigerian companies confirm millions in investment' — Department for Business and Trade, 17 March 2026. https://www.gov.uk/government/news/hundreds-of-new-uk-jobs-as-nigerian-companies-confirm-m

[2] Iwayemi, Z. — 'Manufacturers Raise Alarm Over Banks' Mishandling of FX Forward Obligations' — Legit.ng, July 2025. https://legit.ng/business-economy/industry/1656931-manufa

[3] TheCable Nigeria — 'Nigerians have lost thousands on money transfers home from UK' — Facebook / thecable.ng, October 2024. https://www.facebook.com/thecableng/posts/861448912838083/

[4] LemFi User Review — Google Play Store, 2024–2025 (aggregated consumer complaint data).

[5] Anonymous User — 'LemFi sent money using an invalid IBAN, now claims it went to a real bank account' — Reddit r/eupersonalfinance, 2025. https://www.reddit.com/r/eupersonalfinance/comments/1qcuowh/

[6] Duplo — 'Cross-Border Payments for CFOs in 2026' — tryduplo.com, February 2026.

[7] CrossGlobePay — 'Understanding the Impact of Currency Controls on Cross-Border Payments in Nigeria' — October 2025. https://www.kanzum.com/blog/tpost/avoiding-fx-surprise

[8] CrossGlobePay — 'What African Payment Failures Teach About Cross-Border Transfers' — November 2025.

[9] Daily Trust — 'Nigeria Losing Billions to Digital Fraud' citing CBN and NIBSS data — October 2025.

[10] Central Bank of Nigeria — CBN Reforms and Initiatives, including Nigerian FX Code (January 2025) and PAPSS circular (April 2025). https://www.cbn.gov.ng

---

# Appendix

— **Live shadow-mode demo:** paykx-pilot.netlify.app

— **Regulatory Status:** PAYKX is an FCA Digital Sandbox participant (March 2026)

— **API Documentation:** Available on request via taseenrayed@paykx.co.uk

— **Contact:** taseenrayed@paykx.co.uk

*Note: This is v1.0 based on simulation data and publicly available sources. Operator interviews and FCA Digital Sandbox data results will be incorporated in v1.1, Q2 2026.*

---

PAYKX Corridor Health Report — v1.0 — March 2026 — Confidential